

Rs 17 crore on a turnover of Rs 354 crore. With an order book of Rs 11,554 crore and alliances for projects that included the Rs 12,312-crore Hyderabad Metro Rail (HMR) project, Maytas Infra dreamed big. In the HMR project (despite lacking experience in metro rail projects), it rejected the viability gap funding and offered to pay over Rs 30,000 crore to the Andhra Pradesh Government, banking heavily on the real estate business which is on a downslide now. Paying the Government for

buyout plan was intended to enable HMR raise funds from the market. Ironically, the project was labelled "a political scam" by Delhi Metro Rail Corporation (DMRC) chief E. Sreedharan who questioned its operational viability. It compelled the Metro Rail Corporation to snap ties with consultants DMRC. To top it all, Maytas Infra CEO P.K. Madhav was arrested and sent to judicial custody on allegations of fraud in another group where he was working earlier. Maytas Properties, unlike its twin, is

Maytas twins were strapped of cash. The idea was to infuse them with Satyam funds. Already an undisclosed stake of Maytas Properties is held by Infinite India Investment Management, a realty fund jointly promoted by JM Financial and US-based SRM Investments, which invested Rs 600 crore in it in February 2008. Obviously that was not enough. Raju though claims that it was a counter cyclical strategy. He said, "The thought was to further de-risk the business in the current economic downturn adding value to our stakeholders and exploring additional sources of revenue for Satyam. However, the issue has snowballed because the companies proposed for acquisition that belonged to related parties. Had it not been so, there would probably not have been as much resistance." The theory was that with growth rates in IT and software dropping from 40 per cent a few years back to 10 per cent, income from infrastructure could beef up top and bottom line numbers. "Maybe, our judgement call was wrong," says Satyam President Ram Mynampati but the investors clearly don't see any room for ambiguity.



“ Corporate governance becomes critical in hard times. It is imperative for businesses to not allow dilution. ”

“ Need of the hour is concentration on principle-based rather than rule-based corporate governance. ”

ADI GODREJ, Chairman, Godrej Group



“ Such conduct has a bearing on investor confidence and raises questions about the independence of the board. ”

AMITABH CHAKRABORTY, President-Equity, Religare

building the project in return for 296 acres of land for commercial exploitation is a bet that has clearly exploded on the family.

It was this bravado that drove funding away from Maytas Infra. The crisis of cash flow was aggravated at a retail level as some of the promoters and their investment firms faced margin calls after having borrowed against stocks. But Chief Financial Officer V.V.R. Raju contends that the company had no issues regarding working capital requirements. The

a privately-owned real estate firm run by Raju's second son Rama, the vice-chairman. Its claim to fame was a land bank of 6,800 acres with a potential built-up space of 245 million sq. ft., including three SEZs. Analysts point out that together the two businesses could not be worth more than Rs 3,000 crore. Raju though had conjured a valuation of Rs 6,240 crore for Maytas Properties alone. "The issue", says SEBI Executive Director Manas S. Ray, "is being examined."

The nature of the deal suggests the

Brokerage firm Edelweiss says corporate governance concerns could see investors pressing for change in Satyam's board which is not a welcome thought for Raju. And more trouble is expected from Upaid, the UK-based mobile payment specialist firm, which has filed a motion against Satyam in a Texas court asking it to seek testimony from Satyam officials in a battle over fraud, forgery and breach of contract. Satyam could face a sizeable judgement against it after the trial in June 2009.

Clearly, if 2008 was bad, the new year may be worse if the issue of corporate governance strikes Satyam hard. But there is good news for Maytas as the Government mulls long-term state funding for infrastructure firms. If only Raju could have waited for some more months!

with Nivedita Mukherjee